

04 Accounting procedures

Corrected Topical Answers

7 selected hard questions

Exact mark-scheme extracts enlarged for clear reading

Contents

4.1 Capital and revenue expenditure and receipts	1 answer(s)
4.2 Accounting for depreciation and disposal of non-current assets	3 answer(s)
4.4 Irrecoverable debts and provision for doubtful debts	2 answer(s)
4.5 Valuation of inventory	1 answer(s)

ANSWER / MARKING POINTS

5(a)(i)	Money spent on purchasing, improving or extending non-current assets					1																									
5(a)(ii)	Money spent on day to day running a business (1)					1																									
5(a)(iii)	Money received from a source other than normal trading activities (1)					1																									
5(a)(iv)	Money received by a business from normal trading activities (1)					1																									
5(b)	<table><tr><td>Item</td><td>capital expenditure</td><td>revenue expenditure</td><td>capital receipt</td><td>revenue receipt</td></tr><tr><td>Delivery charges for new office equipment</td><td>✓ (1)</td><td></td><td></td><td></td></tr><tr><td>Repairs to the roof of an existing building</td><td></td><td>✓ (1)</td><td></td><td></td></tr><tr><td>Painting of a new extension to the factory</td><td>✓ (1)</td><td></td><td></td><td></td></tr><tr><td>Proceeds from the sale of a motor vehicle</td><td></td><td></td><td>✓ (1)</td><td></td></tr></table>					Item	capital expenditure	revenue expenditure	capital receipt	revenue receipt	Delivery charges for new office equipment	✓ (1)				Repairs to the roof of an existing building		✓ (1)			Painting of a new extension to the factory	✓ (1)				Proceeds from the sale of a motor vehicle			✓ (1)		4
Item	capital expenditure	revenue expenditure	capital receipt	revenue receipt																											
Delivery charges for new office equipment	✓ (1)																														
Repairs to the roof of an existing building		✓ (1)																													
Painting of a new extension to the factory	✓ (1)																														
Proceeds from the sale of a motor vehicle			✓ (1)																												
5(c)	P Limited Statement of Changes in equity (retained earnings) for the year ended 30 June 2025 \$ <table><tr><td>Balance at 1 July 2024</td><td>46 220</td><td>}</td></tr><tr><td>Profit for the year</td><td>37 350</td><td>}(1)</td></tr><tr><td>Dividend paid (interim)</td><td>(36 400)</td><td></td></tr><tr><td>Transfer to general reserve</td><td>(8 000)</td><td>(1)</td></tr><tr><td>Balance at 30 June 2025</td><td>39 170</td><td>(1)OF</td></tr></table>					Balance at 1 July 2024	46 220	}	Profit for the year	37 350	}(1)	Dividend paid (interim)	(36 400)		Transfer to general reserve	(8 000)	(1)	Balance at 30 June 2025	39 170	(1)OF	3										
Balance at 1 July 2024	46 220	}																													
Profit for the year	37 350	}(1)																													
Dividend paid (interim)	(36 400)																														
Transfer to general reserve	(8 000)	(1)																													
Balance at 30 June 2025	39 170	(1)OF																													

ANSWER / MARKING POINTS - continued

5(d)

9

P Limited Statement of Financial Position at 30 June 2025			
	\$ Cost	\$ Provision for depreciation	\$ Net Book Value
Non-current assets			
Land and buildings		205 000	205 000
Equipment	59 600	11 324	48 276 }
Vehicles	83 000	23 030	59 970 } (1)
	<u>347 600</u>	<u>34 354</u>	<u>313 246</u> (1)OF
Current assets			
Inventory		33 000	
Trade receivables	57 040		
Less Provision for doubtful debts	<u>2 282</u>	54 758 (1)	
Cash		<u>2 100</u>	89 858 (1)OF
Total assets			<u>403 104</u>
Equity			
Ordinary share capital			230 000 (1)
General reserve (16 300 + 8000)			24 300 (1)
Retained earnings			<u>39 170</u> (1)OF
			293 470
Non-current liabilities			
6% Debentures		32 000	
Bank loan		<u>22 000</u>	54 000 (1)
Current liabilities			
Trade payables		44 890	
Other payables		5 700	
Bank overdraft		<u>5 044</u>	55 634 (1)OF
Total equity and liabilities			403 104

ANSWER / MARKING POINTS

3(a)		\$		4
	Cost	80 000		
	Depreciation for the year ended 30 April 2022	<u>16 000</u>	(1)	
	Net Book Value	64 000		
	Depreciation for the year ended 30 April 2023	<u>12 800</u>	(1)	
	Net Book Value	51 200		
	Depreciation for the year ended 30 April 2024	<u>10 240</u>	(1)OF	
	Net Book Value	40 960		
	Depreciation for the year ended 30 April 2025	<u>8 192</u>	(1)OF	
	Net Book Value	32 768		

3(b)	Advantages (Max 1) - Matches cost with revenue (1) - Appropriate when greater benefits are gained from the non-current assets in the early years (1) - May provide a more accurate depreciation / net book value for the asset / non-current asset (1) Disadvantages (Max 1) - Depreciation has to be recalculated each year / more complicated to calculate (1) - The charge against profits is greater in the early years of the non-current asset's life (1) Accept other valid responses	2																																										
3(c)	\$ <table style="width: 100%; border-collapse: collapse;"> <tbody> <tr> <td style="width: 40%;">Cost</td> <td style="width: 10%;"></td> <td style="width: 10%; text-align: right;">80 000</td> <td style="width: 10%;"></td> <td style="width: 10%;"></td> <td style="width: 10%;"></td> </tr> <tr> <td>Depreciation for the year ended 30 April 2022</td> <td style="text-align: right;">16 000</td> <td></td> <td></td> <td></td> <td></td> </tr> <tr> <td>Depreciation for the year ended 30 April 2023</td> <td style="text-align: right;">12 800</td> <td></td> <td></td> <td></td> <td></td> </tr> <tr> <td>Depreciation for the year ended 30 April 2024</td> <td style="text-align: right;"><u>10 240</u></td> <td style="text-align: right;"><u>(39 040)</u></td> <td></td> <td></td> <td></td> </tr> <tr> <td>Net Book Value at 01 May 2024</td> <td></td> <td style="text-align: right;">40 960</td> <td></td> <td></td> <td style="text-align: right;">(10F)</td> </tr> <tr> <td>Sale proceeds</td> <td></td> <td style="text-align: right;"><u>35 000</u></td> <td></td> <td></td> <td style="text-align: right;">(1)</td> </tr> <tr> <td>Loss on disposal</td> <td></td> <td style="text-align: right;"><u>5 960</u></td> <td></td> <td></td> <td style="text-align: right;">(10F)</td> </tr> </tbody> </table>	Cost		80 000				Depreciation for the year ended 30 April 2022	16 000					Depreciation for the year ended 30 April 2023	12 800					Depreciation for the year ended 30 April 2024	<u>10 240</u>	<u>(39 040)</u>				Net Book Value at 01 May 2024		40 960			(10F)	Sale proceeds		<u>35 000</u>			(1)	Loss on disposal		<u>5 960</u>			(10F)	3
Cost		80 000																																										
Depreciation for the year ended 30 April 2022	16 000																																											
Depreciation for the year ended 30 April 2023	12 800																																											
Depreciation for the year ended 30 April 2024	<u>10 240</u>	<u>(39 040)</u>																																										
Net Book Value at 01 May 2024		40 960			(10F)																																							
Sale proceeds		<u>35 000</u>			(1)																																							
Loss on disposal		<u>5 960</u>			(10F)																																							
3(d)(i)	Ahmed Motor vehicles account <table border="1" style="width: 100%; border-collapse: collapse; margin-top: 10px;"> <thead> <tr> <th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr> </thead> <tbody> <tr> <td>2021 Oct 1</td><td>Bank</td><td style="text-align: right;"><u>80 000</u> (1)</td><td>2025 Feb 1</td><td>Disposal</td><td style="text-align: right;"><u>80 000</u> (1)</td></tr> </tbody> </table>	Date	Details	\$	Date	Details	\$	2021 Oct 1	Bank	<u>80 000</u> (1)	2025 Feb 1	Disposal	<u>80 000</u> (1)	2																														
Date	Details	\$	Date	Details	\$																																							
2021 Oct 1	Bank	<u>80 000</u> (1)	2025 Feb 1	Disposal	<u>80 000</u> (1)																																							

ANSWER / MARKING POINTS - continued

3(d)(ii)	<table><tr><th colspan="6">Ahmed Disposal of motor vehicles account</th></tr><tr><th>Date</th><th>Details</th><th>\$</th><th>Date</th><th>Details</th><th>\$</th></tr><tr><td>2025 Feb 1</td><td>Motor Vehicles</td><td>80 000 (1)</td><td>2025 Feb 1</td><td>Provision for depreciation</td><td>39 040 (1)OF</td></tr><tr><td></td><td></td><td></td><td></td><td>Cash</td><td>35 000 (1)</td></tr><tr><td></td><td></td><td></td><td>April 30</td><td>Income statement</td><td>5 960 (1)OF</td></tr><tr><td></td><td></td><td><u>80 000</u></td><td></td><td></td><td><u>80 000</u></td></tr></table>	Ahmed Disposal of motor vehicles account						Date	Details	\$	Date	Details	\$	2025 Feb 1	Motor Vehicles	80 000 (1)	2025 Feb 1	Provision for depreciation	39 040 (1)OF					Cash	35 000 (1)				April 30	Income statement	5 960 (1)OF			<u>80 000</u>			<u>80 000</u>	4
Ahmed Disposal of motor vehicles account																																						
Date	Details	\$	Date	Details	\$																																	
2025 Feb 1	Motor Vehicles	80 000 (1)	2025 Feb 1	Provision for depreciation	39 040 (1)OF																																	
				Cash	35 000 (1)																																	
			April 30	Income statement	5 960 (1)OF																																	
		<u>80 000</u>			<u>80 000</u>																																	
3(e)	Advantages (Max 3) Saving on hire costs (1) Improve revenue / profit (1) Less risk because he has already trialled it / hired for short period (1) Increases non-current assets (1) Disadvantages (Max 3) A larger recovery vehicle which will cost more than a smaller vehicle (1) Hire costs will have to be paid for six months (1) Interest charges on loan (1) Bank may not agree the loan / may require some form of security / loans have to be repaid (1) Proceeds from sale may have been used elsewhere (1) Accept other valid responses. Recommendation (1)	5																																				

ANSWER / MARKING POINTS - continued

4(a)	Ratio	Improved or Deteriorated	Possible reasons for the change	10
------	-------	--------------------------	---------------------------------	----

ANSWER / MARKING POINTS

3(a)

Jasmine

Provision for depreciation of motor vehicles account

Date 2025	Details	\$	Date 2024	Details	\$
			Apr 1	Balance b/d	(1) 7 000
Mar 31	Balance c/d	13 750	2025		
		13 750	Mar 31	Income statement * (2)CF or (1)**	6 750
					13 750
			2025		
			Apr 1	Balance b/d	(1)OF 13 750

* (16 000 – 7 000 + 18 000 =) 27 000 × 25% = 6 750 **2250 or 4500 = 1 must be a credit entry with IS label

4

3(b)

Jasmine

Provision for doubtful debts account

Date 2025	Details	\$	Date 2024	Details	\$
Mar 31	Income statement (1)OF	21	Apr 1	Balance b/d	(1) 366
	Balance c/d	345			
		366			366
			2025		
			Apr 1	Balance b/d*	(2)CF or (1) 345

* (11 800 – 300 =) 11 500 × 3% = 345

4

ANSWER / MARKING POINTS - continued

3(c)	<table><tr><th colspan="6">Jasmine Rent and Rates account</th></tr><tr><th>Date 2024</th><th>Details</th><th>\$</th><th>Date 2024</th><th>Details</th><th>\$</th></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>(1) 900</td><td>Apr 1</td><td>Balance b/d</td><td>(1) 270</td></tr><tr><td>2025</td><td></td><td></td><td>2025</td><td></td><td></td></tr><tr><td>Mar 31</td><td>Bank Balance c/d</td><td>(1) 14 960 185</td><td>Mar 31</td><td>Income statement Balance c/d</td><td>(1)OF 14 850 925</td></tr><tr><td></td><td></td><td>16 045</td><td></td><td></td><td>16 045</td></tr><tr><td>Apr 1</td><td>Balance b/d</td><td>(1) 925</td><td>Apr 1</td><td>Balance b/d</td><td>(1) 185</td></tr></table>	Jasmine Rent and Rates account						Date 2024	Details	\$	Date 2024	Details	\$	Apr 1	Balance b/d	(1) 900	Apr 1	Balance b/d	(1) 270	2025			2025			Mar 31	Bank Balance c/d	(1) 14 960 185	Mar 31	Income statement Balance c/d	(1)OF 14 850 925			16 045			16 045	Apr 1	Balance b/d	(1) 925	Apr 1	Balance b/d	(1) 185	6
Jasmine Rent and Rates account																																												
Date 2024	Details	\$	Date 2024	Details	\$																																							
Apr 1	Balance b/d	(1) 900	Apr 1	Balance b/d	(1) 270																																							
2025			2025																																									
Mar 31	Bank Balance c/d	(1) 14 960 185	Mar 31	Income statement Balance c/d	(1)OF 14 850 925																																							
		16 045			16 045																																							
Apr 1	Balance b/d	(1) 925	Apr 1	Balance b/d	(1) 185																																							
3(d)	<table><tr><th colspan="2">Jasmine Statement of Financial Position as at 31 March 2025</th></tr><tr><td>Current Assets</td><td>\$</td></tr><tr><td>Trade receivables (11 800 – 300)</td><td>11 500</td></tr><tr><td>Less Provision for doubtful debts</td><td>345 OF</td></tr><tr><td></td><td>11 155 (1)OF</td></tr><tr><td>Other receivables</td><td>925 (1)</td></tr><tr><td></td><td>12 080 (1)OF</td></tr></table>	Jasmine Statement of Financial Position as at 31 March 2025		Current Assets	\$	Trade receivables (11 800 – 300)	11 500	Less Provision for doubtful debts	345 OF		11 155 (1)OF	Other receivables	925 (1)		12 080 (1)OF	3																												
Jasmine Statement of Financial Position as at 31 March 2025																																												
Current Assets	\$																																											
Trade receivables (11 800 – 300)	11 500																																											
Less Provision for doubtful debts	345 OF																																											
	11 155 (1)OF																																											
Other receivables	925 (1)																																											
	12 080 (1)OF																																											
3(e)(i)	Depreciation is charged using the same method each year. (1)	1																																										
3(e)(ii)	Obtaining credit references / Establishing credit limits (1) Sending invoices and statements promptly (1) Improve credit control / monitoring/investigating/chasing overdue accounts (1) Refusing to supply customers until outstanding amounts have been paid (1) Taking legal action (1) Max (1)	1																																										
3(e)(iii)	Matching / accruals (1)	1																																										

ANSWER / MARKING POINTS - continued

4(a)	Bilal Journal	11
------	------------------	----

ANSWER / MARKING POINTS

4(a)		\$	\$	2
	Cost of vehicles at start	440 000		
	Add Cost of new vehicles	<u>70 000</u>	510 000	
	Less Cost of vehicle sold		<u>28 000</u>	
	Cost of vehicles held at year end		<u>482 000</u> (1)	
	Depreciation for the year = 482 000 × 20% = 96 400 (1)OF			

ANSWER / MARKING POINTS - continued

4(b)

10

Delivery vehicles account					
Date	Details	\$	Date	Details	\$
2023			2023		
Jan 1	Balance b/d	440 000	Nov 30	Disposal (1)	28 000
Apr 1	L Autos (1)	<u>70 000</u>	Dec 31	Balance c/d	<u>482 000</u>
		<u>510 000</u>			<u>510 000</u>
2024					
Jan 1	Balance b/d ***OF	482 000			

Provision for depreciation of delivery vehicles account					
Date	Details	\$	Date	Details	\$
2023			2023		
Nov 30	Disposal (1)	16 800	Jan 1	Balance b/d	270 000
Dec 31	Balance c/d	<u>349 600</u>	Dec 31	Income statement (1)OF	<u>96 400</u>
		<u>366 400</u>			<u>366 400</u>
			2024		
			Jan 1	Balance b/d ***OF boths	349 600

Disposal of delivery vehicle account					
Date	Details	\$	Date	Details	\$
2023			2023		
Nov 30	Delivery vehicles (1)	28 000	Nov 30	Prov. for depreciation (1)	16 800
				Bank (1)	10 500
		<u>28 000</u>	Dec 31	Income statement (1)OF	<u>700</u>
					<u>28 000</u>

(1) dates

ANSWER / MARKING POINTS - continued

4(c)	Advantages Application of the matching principle Vehicles would be valued at a more realistic/accurate figure May reflect the estimate of loss in value for vehicles more accurately/ depreciation may be more accurate Appropriate for vehicles as they lose more value/greater benefits are gained in the early years Total depreciation/annual depreciation charge will be lower Accept other valid points Max 2 Disadvantages More difficult to calculate depreciation /need to recalculate depreciation each year The depreciation charge is higher in the early years Changing methods is against the consistency principle Changing methods makes comparisons between years more difficult Non-current asset may be overvalued Accept other valid points Max 2 Recommendation (1)	5																
4(d)	<table><tr><td>Non-current asset</td><td>Straight line</td><td>Revaluation</td><td>No depreciation</td></tr><tr><td>Land</td><td></td><td></td><td>✓ (1)</td></tr><tr><td>Fixtures & fittings</td><td>✓ (1)</td><td></td><td></td></tr><tr><td>Loose tools</td><td></td><td>✓ (1)</td><td></td></tr></table>	Non-current asset	Straight line	Revaluation	No depreciation	Land			✓ (1)	Fixtures & fittings	✓ (1)			Loose tools		✓ (1)		3
Non-current asset	Straight line	Revaluation	No depreciation															
Land			✓ (1)															
Fixtures & fittings	✓ (1)																	
Loose tools		✓ (1)																

ANSWER / MARKING POINTS - continued

5(a)	G Limited Manufacturing account for the year ended 31 March 2024	10
------	---	----

ANSWER / MARKING POINTS

5(a)	NT General Journal <table><thead><tr><th>Date</th><th>Details</th><th>Debit \$</th><th>Credit \$</th></tr></thead><tbody><tr><td>May 5</td><td>Irrecoverable debts LW Account written off as irrecoverable (1)</td><td>600 (1)</td><td>600 (1)</td></tr></tbody></table>				Date	Details	Debit \$	Credit \$	May 5	Irrecoverable debts LW Account written off as irrecoverable (1)	600 (1)	600 (1)	3	
Date	Details	Debit \$	Credit \$											
May 5	Irrecoverable debts LW Account written off as irrecoverable (1)	600 (1)	600 (1)											
5(b)	NT Extract from income statement for the year ended 31 August 2021 <table><tbody><tr><td></td><td>\$</td><td></td></tr><tr><td>Irrecoverable debts (600 + 4100)</td><td>4 700</td><td>(1)</td></tr><tr><td>Provision for doubtful debts (91 500 × 5%)</td><td>4 575</td><td>(1)</td></tr></tbody></table>					\$		Irrecoverable debts (600 + 4100)	4 700	(1)	Provision for doubtful debts (91 500 × 5%)	4 575	(1)	2
	\$													
Irrecoverable debts (600 + 4100)	4 700	(1)												
Provision for doubtful debts (91 500 × 5%)	4 575	(1)												

ANSWER / MARKING POINTS - continued

5(c)	NT Extract from statement of financial position at 31 August 2021 <table style="width: 100%; border-collapse: collapse;"> <tr> <td style="width: 60%;">Current assets**</td><td style="width: 10%; text-align: right;">\$</td><td style="width: 30%;"></td></tr> <tr> <td>Trade receivables</td><td style="text-align: right;">91 500</td><td></td></tr> <tr> <td>Less Provision for doubtful debts</td><td style="text-align: right;">4 575</td><td></td></tr> <tr> <td></td><td style="text-align: right; border-top: 1px solid black;">86 925</td><td></td></tr> </table> (1) OF OF ** (1) For heading + OF total	Current assets**	\$		Trade receivables	91 500		Less Provision for doubtful debts	4 575			86 925		2
Current assets**	\$													
Trade receivables	91 500													
Less Provision for doubtful debts	4 575													
	86 925													

ANSWER / MARKING POINTS - continued

5(d)

NT Ledger accounts

8

PB account					
Date	Details	\$	Date	Details	\$
2022			2022		
*	Balance b/d	7 000	July 17	Bank	2 500 } (1)
				Irrecoverable debts	4 500 }
		<u>7 000</u>			<u>7 000</u>
Irrecoverable debts account					
Date	Details	\$	Date	Details	\$
2022			2022		
July 17	PB	4 500 (1) OF	Aug 31	Income statement	12 900 (1) OF
Aug 31	Trade receivables/ debts written off	<u>8 400 (1)</u>			<u>12 900</u>
		<u>12 900</u>			
Provision for doubtful debts account					
Date	Details	\$	Date	Details	\$
2022			2021		
Aug 31	Balance c/d	5 500	Sep 1	Balance b/d	4 575 (1) OF
			2022		
		<u>5 500</u>	Aug 31	Income statement	925 (1) OF
					<u>5 500</u>
			Sep 1	Balance b/d	5 500 (1)

* No specific date specified

+ (1) Dates

ANSWER / MARKING POINTS - continued

5(e)	Option 1 – charge interest Customers may go elsewhere/competitors may offer better terms/sales may decrease (1) Customers may not be prepared to pay the interest (1) May damage relationship with customers (1) Customers may pay on time/may be encouraged to pay on time to avoid interest charges (1) Profit/income will be increased because of interest received (1) Increase in administration costs (1) Accept other valid points Max (2) Option 2 – stop supplies Overdue balances may never be paid and have to be written off (1) Customers may go elsewhere/ competitors may offer better terms/sales may decrease (1) May damage relationship with customers (1) Accept other valid points Max (2) Recommendation (1)	5
------	---	----------

ANSWER / MARKING POINTS

2(a)

Tej

Rent payable account

Date 2020	Details		\$	Date 2021	Details		\$
Mar 1	Balance b/d	(1)	300	Feb 28	Income Statement	(1)	3 900
Jun 30	Bank	(1)	1950		Balance c/d		450
Nov 30	Bank	(1)	<u>2100</u>				<u>4 350</u>
			4350				
2021							
Mar 1	Balance b/d	(1)OF	450				

+ (1) dates

6

2(b)

Tej

Provision for doubtful debts account

Date 2021	Details		\$	Date 2020	Details		\$
Feb 28	Balance c/d (7 000 × 6%)	(1)	420	Mar 1	Balance b/d (6 250 × 4%)	(1)	250
			<u>420</u>	2021			
				Feb 28	Income statement	(1)OF	<u>170</u>
							<u>420</u>
				Mar 1	Balance b/d	(1)OF	420

4

ANSWER / MARKING POINTS - continued

2(c)	Matching (1) Accept 'Accruals'	1
2(d)(i)	Revenue is regarded as being earned (1) when title to the goods is passed (1) The profit on sales is not recognised until it is earned (1) Profit is recognised when earned not when payment is received (1) Profit is earned when the sale is completed/legal title passes (1) No profit is recognised when goods are ordered (1) Accept other valid points. Max (2)	2
2(d)(ii)	To ensure that profits/trade receivables are not overstated (1) To ensure that trade receivables are shown at a realistic amount in the statement of financial position (1) Profits and assets are reduced when the provision for doubtful debts is increased/profits and assets are increased when the provision is reduced (1) Accept other valid points Max (2)	2

ANSWER / MARKING POINTS - continued

2(e)	Advantages Will encourage customers to pay earlier (1) May increase liquidity/cash flow (1) May reduce administration time/costs (1) Or other relevant advantages Max (2) Disadvantages Good relationships with customers will be damaged (1) May lose customers/sales may reduce (1) May incur extra costs to attract customers/advertising/marketing (1) Or other relevant disadvantages Max (2) Recommendation (1)	5
------	---	----------

ANSWER / MARKING POINTS - continued

3(a)	HV Limited Income Statement for the year ended 31 March 2021	8
------	---	---

ANSWER / MARKING POINTS

2(a)	Toyah Manufacturing Account for the year ended 31 January 2024				9
		\$		\$	
	Cost of material consumed				
	Opening inventory of raw material			12 400	
	Purchases of raw material			143 000	
				<u>155 400</u>	
	Less Closing inventory of raw material			11 205	
				<u>144 195</u>	(1)
	Direct wages			51 000	(1)
	Prime cost			<u>195 195</u>	(1)OF
	Factory overheads				
	Wages of factory supervisor	19 000			
	Factory electricity	16 000			
	Rates and insurance (16 200 × 2/3)	10 800	(1)		
	General factory expenses (6 155 + 235)	6 390	(1)		
	Depreciation of factory machinery (120 000 – 52 500) × 25%	<u>16 875</u>	(1)	<u>69 065</u>	
				264 260	(1)OF
	Add Opening work-in-progress			<u>16 970</u>	*
				281 230	
	Less Closing work-in-progress			<u>17 682</u>	*(1) for both
	Cost of production			<u>263 548</u>	(1)OF

ANSWER / MARKING POINTS - continued

2(b)	Toyah Income statement (trading section) for the year ended 31 January 2024 <table><tr><td></td><td>\$</td><td></td><td>\$</td><td></td></tr><tr><td>Revenue</td><td></td><td></td><td>390 100</td><td>(1)</td></tr><tr><td>Cost of sales</td><td></td><td></td><td></td><td></td></tr><tr><td>Opening inventory</td><td>14 825</td><td>*</td><td></td><td></td></tr><tr><td>Cost of production</td><td><u>263 548</u></td><td>(1)OF</td><td></td><td></td></tr><tr><td></td><td>278 373</td><td></td><td></td><td></td></tr><tr><td>Closing inventory</td><td><u>13 480</u></td><td>*(1) for both</td><td><u>264 893</u></td><td>(1)OF</td></tr><tr><td>Gross profit</td><td></td><td></td><td><u>125 207</u></td><td>(1)OF</td></tr></table>		\$		\$		Revenue			390 100	(1)	Cost of sales					Opening inventory	14 825	*			Cost of production	<u>263 548</u>	(1)OF				278 373				Closing inventory	<u>13 480</u>	*(1) for both	<u>264 893</u>	(1)OF	Gross profit			<u>125 207</u>	(1)OF	5
	\$		\$																																							
Revenue			390 100	(1)																																						
Cost of sales																																										
Opening inventory	14 825	*																																								
Cost of production	<u>263 548</u>	(1)OF																																								
	278 373																																									
Closing inventory	<u>13 480</u>	*(1) for both	<u>264 893</u>	(1)OF																																						
Gross profit			<u>125 207</u>	(1)OF																																						
2(c)	<u>\$263 548</u> OF = \$38 (1)OF per dolls' house (rounded up to nearest dollar) 6 936	1																																								
2(d)	For: Sales of discounted inventory should be profitable / make a profit / increase profit margin (1) Selling extra inventory may increase total sales / more customers / more revenue (1) Completed inventory may be turned into cash quickly (1) Her own inventory of finished goods has decreased so there may be scope for her to sell additional inventory (1) Accept other valid points Max (2) Against: Does not have enough money to buy the inventory (1) If have to borrow money will incur interest charges (1) It may incur extra storage costs (1) May not be able to sell the inventory if unpopular / inferior quality (1) May increase selling costs (1) Accept other valid points Max (2) Recommendation (1)	5																																								

ANSWER / MARKING POINTS - continued

3(a)(i)	Bank statement (1)	1
---------	--------------------	---